

Salvage and Total Loss Vehicle Disposition Guide

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Audience: Claims adjusters and total loss specialists

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This guide expands on the Total Loss Valuation Methodology with the disposition process that follows a total loss determination, and complements the Ohio Total Loss Title guidance for the title-branding step specifically.

1. Scope

The Total Loss Valuation Methodology establishes how much Meridian Mutual pays when a vehicle is a total loss. This guide covers what happens to the physical vehicle afterward: salvage retention or surrender, title branding, and the arithmetic relationship between the settlement figure and any salvage value.

2. Salvage Surrender (the Default Path)

In the default disposition path, the policyholder surrenders the vehicle to Meridian Mutual as a condition of receiving the full Actual Cash Value settlement computed under the Total Loss Valuation Methodology. Meridian Mutual then sells the vehicle through a licensed salvage vendor, and the sale proceeds belong to Meridian Mutual, not the policyholder, since the full ACV was already paid without any salvage deduction.

3. Owner-Retained Salvage

A policyholder may instead elect to retain the vehicle. Where retention is elected, the settlement paid is the Actual Cash Value minus the documented salvage value of the vehicle in its damaged condition — the policyholder keeps the vehicle and receives the net figure, rather than surrendering it and receiving the full ACV. The salvage value deduction is documented with its own valuation source (typically the same total-loss vendor described in the Vendor and Repair Network Management Guide, Section 5), separately from the ACV figure itself.

4. Computing the Owner-Retention Settlement

The owner-retention settlement is: ACV minus salvage value minus the applicable deductible, computed by the deterministic calculation service using the ACV figure from the Total Loss Valuation Methodology and the salvage value from Section 3 as separate inputs — never a single blended figure entered directly, so that both inputs remain independently auditable in the claim file.

5. Title Branding

Any vehicle deemed a total loss and released back to the policyholder or sold as salvage must have its title branded "salvage" (or the equivalent Ohio designation) per the Ohio Total Loss Title guidance, regardless of which disposition path in Sections 2 or 3 applies. Title branding is a legal requirement independent of the settlement calculation and is tracked to completion as a distinct claim file task.

6. Rebuilt/Reconstructed Title Vehicles

A vehicle previously branded salvage, subsequently repaired and re-titled as "rebuilt" or "reconstructed," carries that branding forward into any future valuation — a total loss or damage claim on a vehicle with a prior salvage brand uses a comparable-vehicle set of similarly branded vehicles for its ACV determination, since branded vehicles trade at a discount to clean-title vehicles of the same make, model, and condition.

7. Lienholder Interests

Where a lienholder is shown on the Declarations page or through a loss-payee endorsement, the total loss settlement (whichever disposition path applies) is paid first to satisfy the outstanding lien, with any remainder paid to the policyholder; the lienholder's consent is required before a salvage-retention election under Section 3 can be finalized, since retention affects the collateral the lienholder holds an interest in.

8. Documentation Standard

A total loss disposition file documents: the ACV figure and its source, the disposition path elected (surrender or retention), the salvage value and its source if retention was elected, title branding confirmation, and lienholder payoff confirmation where applicable — each item citing its source, consistent with the citation discipline required throughout the adjudication process.